

makes financial advisor compensation special. I follow Holmstrom and Milgrom (1991) in recommending that incentive payments that are common in institutions *not* be a major part of the compensation structure of financial advisors. Holmstrom and Milgrom show that when an agent has several different tasks to perform—as financial advisors do—then incentivizing the agent to perform well on one task diverts attention from other tasks. The agent then focuses disproportionate time or effort on the tasks that are compensated well. When the agent is asked to multitask, or the tasks are not easily measured, the optimal incentive contract is closer to a fixed wage without any incentive contracts. Holmstrom and Milgrom argue this is in fact why we do not observe incentive payments, or only very small ones, in many situations. For individual investors, a financial advisor provides services on many dimensions that are hard to measure, and so financial advisor compensation fits squarely in the Holmstrom and Milgrom category. Only a minor part of compensation for a financial advisor should be incentive based.

At the same time, there are too many disadvantages of fees based on AUM or as a percentage of net worth and income. For a small retail investor, my advice is to find one of the growing number of financial advisors who charge flat or hourly fees. Make sure you're paying enough to get the best financial advisors to work for you. Pay extra for services that the flat fee does not cover.

Benchmarks, however, are still important. The benchmark allows the investor to see what value is being added by the financial advisor, even though the advisor is receiving little incentive compensation relative to the benchmark. The benchmark should be something an investor can do on her own at low cost, without the advisor: a simple combination of index funds, a "default" target-date fund (although these have many disadvantages; see chapter 5), or a simple factor portfolio for the more sophisticated investor (see chapter 14). Most financial advice results in clients underperforming simple benchmarks: in a study of the Oregon University System, Chalmers and Reuter (2012b) report that investors using brokers underperform those not using brokers by in excess of 1.5%.²¹ Broker fees paid by clients account for 0.9% of this, and the rest comes from brokers recommending riskier portfolios stuffed with expensive products that do not perform as well as simple benchmarks. Pay well when advice is good, but to recognize good advice you need a transparent and demanding benchmark.

3.6. SUMMARY

There is often a multiplicity of agency relations in asset management. The role of consultants, for example, often lends another set of agency issues rather than

²¹ Karabulut (2010) and Mullainathan, Noth, and Schoar (2012) also find little value-added from the average financial advisor. Like Chalmers and Reuter (2012b), they also show that financial advice is associated with lower risk-adjusted returns.